

Interest Rate Derivatives

August (NFP's version)

- Today's payrolls print surprised to the downside, resulting in yields rallying, vols following lower in sympathy, and the OIS curve repricing dovishly
 - However, Fedspeak has turned more hawkish post-FOMC. Together, these developments have likely widened the range of possible outcomes, and we thus expect greater policy uncertainty and event risk associated with upcoming CPI prints ahead of the September FOMC meeting
 - Although we are inclined to be long gamma given this backdrop, our empirical gamma returns model indicates that owning gamma may result in statistically significant negative returns. We therefore recommend waiting for better entry levels before initiating longs
 - Swap spreads have had another quiet week, with spread volatility near cycle lows. Lower spread volatility and an improving geopolitical backdrop could bring a resurgence in carry-seeking spread trades, where the front end offers the most attractive carry and roll...
 - ...however, valuations point the other way, and we are therefore cautious in the very front end but see the 3-5 year sector as offering the best risk-to-reward based on the expected narrowing from our fair value model versus the carry gain
 - We instead recommend initiating swap spread curve steepening exposure, as term funding premium remains ~2 standard deviations above fair value, and spreads now exhibit a lower sensitivity to oil and thus geopolitical developments relative to earlier in the Middle East conflict—initiate 10s30s spread curve steepeners
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August (NFP's version)

In what was an eventful week that started with the quarterly refunding announcement, the biggest surprise and most material development for markets was the July payrolls report: it surprised to the downside, with a -23K print (versus 80K consensus), while the prior two months were revised down 103k and 55k, respectively, and the participation rate decreased 12bp ([US: School's out for summer](#), M. Feroli, 8/7/26). The print spurred a large rally in yields, with 2-year yields declining about 9bp and 30-year yields declining by about 4bp. Over the week, yields are lower across the curve, led by the belly, as the belly declined by about 10bp, and 30-year yields are lower by about 5bp (**Figure 1**). OIS forwards have repriced as well, with the December OIS rate now lower by ~8bp and markets pricing in fewer hikes over the course of the next year (**Figure 2**).

Figure 1: Yields are down over the week, and curves are mostly steeper

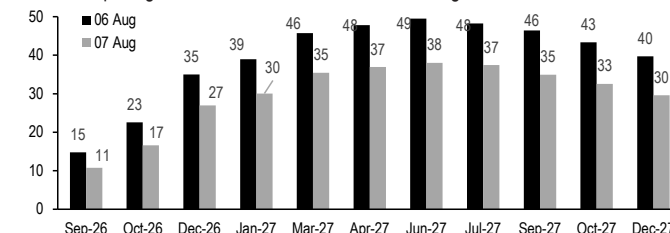
Selected statistics for SOFR swap yields (%) and swap yield curves (bp), 7/31 - 8/7

	Start	Change	End	Min	Mean	Max
2Y	4.15	-0.09	4.06	4.04	4.08	4.15
3Y	4.15	-0.09	4.06	4.03	4.08	4.15
5Y	4.18	-0.10	4.08	4.04	4.10	4.18
7Y	4.23	-0.09	4.14	4.10	4.15	4.23
10Y	4.33	-0.08	4.25	4.21	4.26	4.33
20Y	4.56	-0.07	4.50	4.46	4.50	4.56
30Y	4.52	-0.05	4.46	4.43	4.47	4.52
2s/5s	3	0	2	0	1	3
2s/10s	18	1	19	16	17	19
2s/30s	37	4	41	36	38	41
5s/30s	34	4	39	34	37	39
10s/30s	19	3	22	19	21	22
Dec '26 FOMC	4.00	-0.08	3.92	3.92	3.96	4.00
Mar '27 FOMC	4.14	-0.11	4.02	4.02	4.07	4.14

Source: Source: J.P. Morgan

Figure 2: The OIS curve repriced dovishly following today's payrolls print

1M forward pricing of OIS rates at various FOMC meeting dates, 8/6 - 8/7 as of 9am



Source: J.P. Morgan

Despite the unemployment rate falling from 4.2% to 4.1% (which may reflect the lower participation rate rather than labor market strength), this overall soft jobs report has likely reduced concerns that the labor market may be overheating. That said, following the July FOMC meeting, the Fed's messaging has turned more hawkish (**Figure 3**), indicating that inflation continues to be a focus for the committee, and we consider risks skewed towards tightening (see *Treasuries*). This widening of outcomes brings greater policy uncertainty and event risk associated with the next CPI prints ahead of the September FOMC meeting. Therefore, **looking ahead, we prefer to trade gamma on the long side into the next few weeks.**

Figure 3: Fedspeak has turned more hawkish following the July FOMC meeting

Selected remarks from Fed speakers, 8/3 - 8/5

Date	Fed Speakers	Comments
8/5/2026	Daly, nv	"The answer there is be vigilant to watch the information as it comes in, but be very prepared to take the action"
8/5/2026	Cook, v	"Inflation is too high, and I consider the risks to the inflation side of the dual mandate higher than the risks to the employment side at this point...As such, I am prepared to act by raising rates, if necessary"
8/5/2026	Kashkari, v	"If inflation continues to move sideways or even get worse from here, then I think we're going to have to start gradually adjusting interest rates to bring things back down"
8/4/2026	Schmid, nv	"Given the strength of demand and investment, I do not see the current stance of monetary policy as restrictive...As such, I believe that bringing inflation down to the Fed's 2% objective will require tighter policy"
8/4/2026	Paulson, v	"If instead underlying inflation remains stubbornly elevated, the passage of time without progress would itself signal that more restrictive policy is needed"
8/3/2026	Williams, v	"If the economy is not on a trajectory that will bring inflation back down to 2% and we would, in my view there would be, it would absolutely be appropriate to act to get us on a trajectory that does bring inflation back to 2%"

Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 4: Implieds are down over the week, led by shorter expiries

Selected statistics for implied volatility of various SOFR swaption structures, 7/31 - 8/7; bp/day

	Start	Change	End	Min	Mean	Max
6Mx2Y	6.19	-0.26	5.93	5.93	6.02	6.19
6Mx5Y	5.79	-0.35	5.45	5.45	5.57	5.79
6Mx10Y	5.20	-0.32	4.87	4.87	4.98	5.20
6Mx30Y	4.74	-0.38	4.35	4.35	4.49	4.74
1Yx2Y	6.26	-0.22	6.04	6.04	6.14	6.26
1Yx5Y	5.76	-0.20	5.56	5.56	5.64	5.76
1Yx10Y	5.31	-0.21	5.11	5.11	5.19	5.31
1Yx30Y	4.90	-0.24	4.66	4.66	4.76	4.90
3Yx2Y	5.99	-0.16	5.83	5.83	5.90	5.99
3Yx5Y	5.70	-0.18	5.52	5.52	5.60	5.70
3Yx10Y	5.45	-0.16	5.29	5.29	5.36	5.45
3Yx30Y	5.14	-0.17	4.97	4.97	5.05	5.14

Source: J.P. Morgan

Despite the decline in implieds this week (**Figure 4**), implieds currently sit at levels higher than last month, and they are near our year-end targets. This raises the question of **whether entry levels are sufficiently attractive to initiate long-gamma positions.** To answer this question, we turn to our simplified empirical fair value model for daily delta-hedged returns

for long-gamma positions. Our model now uses just two variables: *ex-ante* levels of implied volatility and monthly in-sample changes in medium-term Fed expectations, as proxied by the 3Mx3M/1Yx1Y OIS curve. As **Figure 5** shows, both drivers are statistically significant across all structures. As Figure 5 also shows, **implieds are still sufficiently high that long gamma positions don't appear to be attractive at the moment**. Therefore, we recommend waiting for better entry levels before initiating longs.

Figure 5: Our empirical model for returns from daily delta-hedged long gamma positions points to negative returns

Statistics from rolling 21-day returns* (bp/notional) from long straddles regressed** against ex-ante levels of ATM implied volatility (bp/day) and monthly change in the 3Mx3M/1Yx1Y OIS curve (%) as a proxy of Fed expectations, projection and normalized projection†, current drivers as of 8/7

	Coefficients				T-stats				Current Drivers			
	6Mx2Y	6Mx5Y	6Mx10Y	6Mx30Y	6Mx2Y	6Mx5Y	6Mx10Y	6Mx30Y	6Mx2Y	6Mx5Y	6Mx10Y	6Mx30Y
Intercept	84.8	218.7	408.8	806.4	19.1	22.2	22.5	20.2				
Ex-ante ATM implied vol	-15.3	-42.6	-88.4	-190.7	-19.3	-22.7	-23.2	-21.2	5.9	5.4	4.9	4.4
Monthly change in 3Mx3M/1Yx1Y OIS	34.1	59.5	65.3	87.7	9.5	11.0	9.6	7.4	0	0	0	0
R-squared	80%	85%	84%	80%								
Standard error	7.9	12.0	15.1	26.1								
Projection									-5.9	-13.5	-22.1	-23.9
Normalized projection									-0.7	-1.1	-1.5	-0.9

* Options are assumed to be delta-hedged daily and rolled each month. Assumes zero transaction costs

** Regression from Feb 2026 - Aug 2026

† Projected returns are calculated using current ATM implied vol and assuming Fed expectations are unchanged. Normalized projected return is projected return divided by standard error

Source: J.P. Morgan

Therefore, with policy uncertainty elevated, and a higher event premium associated with the next few inflation prints, there are reasons to be long gamma. However, valuations are not yet sufficiently attractive to initiate longs. We thus recommend patience before initiating longs.

For investors who would like to initiate volatility positions, we recommend adding on a rate hedge, as vol-rate directionality has remained strong across all tails and in expiries shorter than 3 years (albeit less so compared to the start of the Middle East conflict; [Interest Rate Derivatives: Waiting for Godot](#), 7/24/2026) (**Figure 6**).

Figure 6: Vol-rate betas remain elevated across the surface

1M beta of daily changes in implied vol (bp/day) to changes in underlying swap yield (%) for various swaption structures, 8/6

	1Y	2Y	5Y	10Y	30Y
3M	3.1	3.0	2.8	2.8	3.6
6M	2.3	2.2	2.0	2.0	2.4
1Y	1.7	1.6	1.4	1.3	1.5
2Y	1.1	1.1	1.0	1.1	1.1
3Y	0.9	0.9	0.9	1.0	1.0
5Y	0.7	0.7	0.8	0.7	0.7
10Y	0.6	0.6	0.6	0.6	0.6

Source: J.P. Morgan

Another important development this week was Treasury's quarterly refunding announcement (QRA), in which Treasury left coupon auction sizes unchanged. Our UST strategists have written in detail about their takeaways from the QRA ([US Treasury Market Daily](#), J. Barry, 8/5/2026), and we summarize them here. They expect Treasury to maintain its forward guidance into 2027 and current auction sizes through August 2027 (versus February 2027 previously). They also note that Treasury's change in the statement from "potential future increases to nominal coupon and FRN auction sizes" to "potential

future changes” could, at face value, indicate that there are two-sided risks to Treasury auction sizing over the medium term. However, they also think that this change could reflect Treasury's discomfort with the recent rise in Treasury yields, and this subtle shift could be aimed at opening up ambiguity to reduce bearish pressure.

Despite the high volatility in yields and implieds, swap spreads have remained unusually quiet for yet another week, as the long end has widened by 1bp and the front end has narrowed by 1bp (**Figure 7**). This period of relative quiet has resulted in the spread volatility remaining muted compared to the first few months of the conflict and the beginning of the year (**Figure 8**).

Figure 7: Swap spreads were relatively quiet over the week

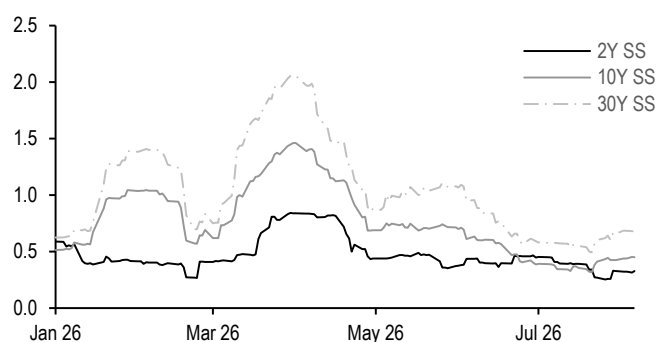
Selected statistics on benchmark maturity-matched SOFR swap spreads (bp), term funding premium (bp/year), and zero-duration spread (bp); 7/31 - 8/7

	Start	Chg	End	Min	Mean	Max
2Y	-14.1	-0.8	-14.9	-14.9	-14.4	-14.1
3Y	-20.5	-0.5	-21.0	-21.0	-20.7	-20.5
5Y	-28.4	0.2	-28.2	-28.4	-28.1	-27.8
7Y	-37.0	0.4	-36.6	-37.0	-36.3	-35.7
10Y	-42.3	0.2	-42.1	-42.3	-41.8	-41.4
20Y	-73.3	1.3	-72.0	-73.3	-71.9	-70.9
30Y	-75.5	1.0	-74.5	-75.5	-74.6	-74.2
TFP	4.9	-0.2	4.8	4.8	4.8	4.9
ZDS	-6.4	-0.9	-7.3	-7.3	-6.8	-6.4

Source: J.P. Morgan

Figure 8: Swap spread volatility has decreased since the beginning of the Middle East conflict

1M realized volatility* of 2Y, 10Y, and 30Y maturity-matched SOFR swap spreads, 1/1/26 - current; bp/day



* Realized volatility is calculated as the standard deviation of daily changes in swap spreads over the past 3 months

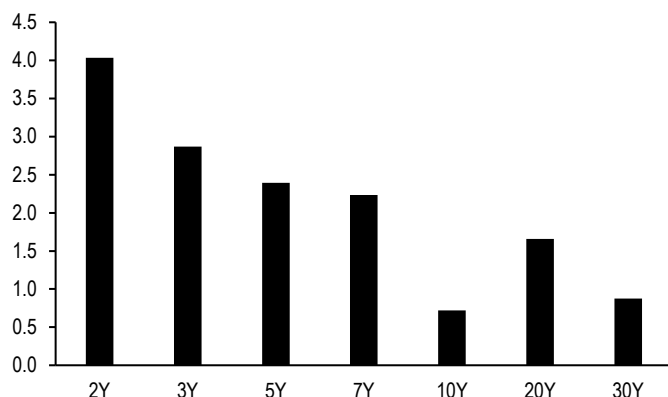
Source: J.P. Morgan

This reduced volatility in swap spreads could bring back carry-seeking strategies in swap spreads if the geopolitical backdrop remains favorable. As **Figure 9** shows, 3M carry and roll in the very front end appears very attractive, to the tune of 3-4bp. However, **we don't recommend initiating front-end wideners because valuations matter as well.** Based on our empirical fair value model for the term structure of swap spreads, the front end of the swap spread curve appears too wide, while the back end of the curve appears too narrow (**Figure 10**). Therefore, **we are cautious on outright wideners in the very front-end, but see the 3-5 year sector as offering the best risk-to-reward based on the expected narrowing from our model versus the carry-gain.**

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Figure 9: Carry and roll is most attractive at the front end of the swap spread curve

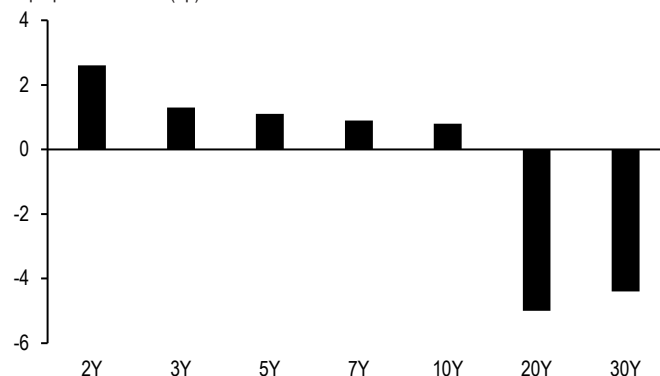
3M carry and roll (bp) of maturity-matched swap spreads across the curve



Source: J.P. Morgan

Figure 10: Relative to our fair value model, swap spreads appear too wide in the front end and too narrow in the back

Swap spread residual (bp) relative to our fair value model*



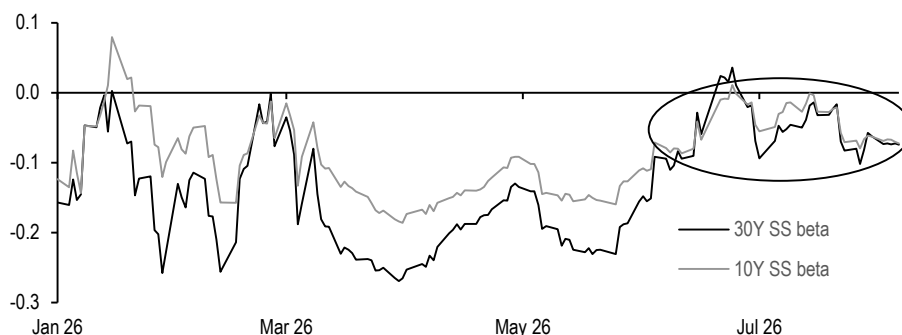
* For details on our fair value model for maturity-matched SOFR swap spreads, see [Interest Rate Derivatives 2026 Mid-Year Outlook](#), 6/12/2026

Source: J.P. Morgan

However, we now recommend initiating swap spread curve steepening exposure via **10s/30s spread curve steepeners to position for a correction in term funding premium** (see Trade recommendations). We are encouraged that the geopolitical backdrop seems to be having less of an impact on swap spreads, as indicated by the lower sensitivity to oil and lower volatility. Additionally, 10-year and 30-year swap spreads have similar amounts of carry and roll (unlike the very front end); therefore, the net carry on this trade will not be as punitive as initiating a steepener anchored in the very front end. Additionally, these sectors currently have similar sensitivities to oil, and **this trade should be mostly hedged versus oil if the geopolitical backdrop were to change (Figure 11)**. Therefore, we recommend this trade.

Figure 11: 10Y and 30Y swap spreads have recently exhibited similar betas to oil

Rolling 1M beta of daily changes in 10Y and 30Y maturity-matched swap spreads (bp) to changes in Brent crude price (\$/bbl), 1/1/26 - current



Source: J.P. Morgan

Trade recommendations

- **Initiate 10s/30s matched-maturity swap spread curve steepeners**

Swap spreads have been less impacted by the geopolitical backdrop over the past few weeks, allowing us to position for a correction in TFP, which remains ~2 standard deviations above fair value, and 30Y spreads, which remain narrow to fair value. Our preferred expression is a 10s/30s spread curve steepener, as 10Y narrowers do not carry as punitively as the very front end, and both 10Y and 30Y swap spreads have similar betas to oil prices over the short term.

- Receive fixed in 4.375% May 15 2036 maturity-matched SOFR swap spreads. Buy \$100mn notional of the 4.375% May 15 2036 (yield: 4.657%, PVBP: \$767.4/bp per mn notional), and receive fixed in \$96.1mn notional of a maturity-matched SOFR swap (coupon: 4.236%, PVBP: \$798.2/bp per mn notional) at a swap spread of -42.1bp.

- Pay fixed in 5% May 15 2056 maturity-matched SOFR swap spreads. Buy \$52.2mn notional of the 5% May 15 2056 (yield: 5.210%, PVBP: \$1469.0/bp per mn notional), and pay fixed in \$46.7mn notional of a maturity-matched SOFR swap (coupon: 4.468%, PVBP: \$1644.0/bp per mn notional) at a swap spread of -74.2bp.

- **Maintain A/A+20bp 3Mx30Y payer swaption 1x2s**

P/L on this trade is currently 1.1bp. For the original trade write up, see [US Fixed Income Markets Weekly 2026-07-31](#).

- **Maintain longs in USZ6 factor-weighted CTD basis (with repo termed out to 12/31)**

P/L on this trade is currently 3.5 32nds. For the original trade write up, see [Born\(e\) in the US\(A\) 2026-06-29](#).

- **Maintain longs in 1Yx1Y A-50 receiver swaptions vs. selling 1Yx1Y A+50 payer swaptions, delta-hedged daily**

P/L on this trade is currently -2.8abp. For the original trade write up, see [US Fixed Income Markets Weekly 2026-06-29](#).

- **Maintain longs in 5Yx5Y swaption straddles vs. selling a vega-neutral amount of 5Yx2Y swaption straddles, delta-hedged daily**

P/L on this trade is currently -0.2abp. For the original trade write up, see [US Fixed Income Markets Weekly 2026-06-29](#).

- **Maintain A+100 2Yx10Y payer swaptions versus selling at-the-money forward 2Yx10Y payer swaptions, delta-hedged daily**

P/L on this trade is currently -0.8abp. For the original trade write up, see [US Fixed Income Markets Weekly 2026-02-20](#).

- **Maintain longs in 10Yx10Y swaption straddles, delta-hedged daily**

P/L on this trade is currently 0.5abp. For the original trade write up, see [US Fixed Income Markets Weekly 2025-12-12](#).

Closed trades over the past 12 months

P/L reported in bp of yield for swap spread, yield curve, and misc. trades and in annualized bp of volatility for option trades, unless otherwise specified.

Note: trades reflect Thursday COB levels, and unwinds reflect levels on day of unwind; source for tables below: J.P. Morgan

Ipek Ozil ^{AC} (1-212) 834-2305
ipek.ozil@jpmorgan.com
J.P. Morgan Securities LLC
Chris Hayward (1-212) 622-6152
chris.hayward@jpmchase.com
J.P. Morgan Securities LLC

Emre Alptuna (1-212) 270-4843
emre.alptuna@jpmorgan.com
J.P. Morgan Securities LLC

Global Markets Strategy

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Trade	Entry	Exit	P/L
Spreads and basis			
Initiate maturity-matched 3.875% Feb 2043 / 3% Feb 2049 swap spread curve flatteners (0.8:1 weighted)	6/6/2025	8/22/2025	(3.3)
Initiate 2Y maturity-matched swap spread wideners	8/15/2025	9/5/2025	0.0
Initiate 2s/5s maturity-matched swap spread curve flatteners	8/15/2025	9/12/2025	0.0
Initiate a 4.625% Jun 2027 / 4.375% Jul 2027 swap spread curve flattener (1:0.9 weighted)	7/11/2025	9/19/2025	(2.9)
Initiate 7s/10s maturity-matched swap spread curve steepeners	9/5/2025	9/19/2025	1.1
Initiate maturity-matched 30-year swap spread narrowers	9/12/2025	10/7/2025	(6.2)
Initiate maturity-matched swap spread wideners in the 3Y sector	10/3/2025	10/14/2025	2.0
Initiate 5s/30s maturity-matched swap spread curve flatteners	10/17/2025	11/5/2025	0.2
Initiate 30Y swap spread narrowers hedged with a 10% risk-weighted long in 30Y UST rates	10/17/2025	12/12/2025	(6.1)
Initiate 2s/10s maturity-matched swap spread curve flatteners	12/12/2025	1/9/2026	(2.6)
Initiate 3s/5s maturity-matched swap spread curve flatteners	10/3/2025	1/21/2026	0.1
Initiate 2s/3s maturity matched spread curve flatteners	10/31/2025	1/21/2026	0.1
Initiate 10s/30s maturity-matched swap spread curve flatteners	1/30/2026	2/6/2026	0.9
Initiate 2s/10s maturity-matched swap spread curve flatteners	2/20/2026	2/27/2026	1.9
Initiate 2s/30s maturity-matched swap spread curve steepeners	3/17/2026	3/20/2026	(7.0)
Initiate 7s/10s maturity-matched swap spread curve flatteners	3/27/2026	5/1/2026	0.3
Initiate 1:0.7 risk-weighted 10s/30s maturity-matched swap spread curve steepeners	5/29/2026	6/25/2026	1.4

Ipek Ozil ^{AC} (1-212) 834-2305
ipek.ozil@jpmorgan.com
J.P. Morgan Securities LLC
Chris Hayward (1-212) 622-6152
chris.hayward@jpmchase.com
J.P. Morgan Securities LLC

Emre Alptuna (1-212) 270-4843
emre.alptuna@jpmorgan.com
J.P. Morgan Securities LLC

Global Markets Strategy
Interest Rate Derivatives
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J.P.Morgan

Duration and curve	Entry	Exit	P/L
Initiate 6M forward 1s/7s conditional bull steepeners	07/11/25	08/22/25	0.4
Initiate Greens/Golds conditional bear flatteners (0.87:1.0 weighted) using 3M expiry midcurve payers	08/15/25	08/22/25	1.5
Initiate 1Y fwd 2s/7s flatteners (1:0.75 weighted)	08/15/25	08/22/25	(4.2)
Initiate 3M forward 5s/15s flatteners with 85% of the risk in 2Y fwd 1s/7s steepeners	07/25/25	09/04/25	(7.9)
Sell the belly of a 1Y forward 2s/10s/30s swap yield curve butterfly (0.38:1:0.63 weighted)	08/01/25	09/05/25	(7.3)
Initiate M6/M8 conditional bull steepeners using M6 3M SOFR future calls and M6 2Y midcurve calls	09/04/25	09/05/25	2.5
Initiate 12Mx3M / 27Mx3M flatteners paired with an 80% risk-weighted 6Mx1Y / Greens steepener	09/05/25	09/26/25	1.1
Initiate Greens / 3Mx5Y (0.7:1.0 weighted) steepeners	09/10/25	09/26/25	4.8
Initiate Z6/Z7 conditional bull steepeners using Z5 1Y midcurve calls and Z5 2Y midcurve calls	09/26/25	10/03/25	2.0
Sell the belly of a 3M forward 5s/10s/30s swap yield curve butterfly (0.53:-1:0.53 weighted) to asymmetrically position for a shallower easing cycle	07/11/25	10/17/25	(3.0)
Initiate 3Mx2Y 1x2 receiver spreads	09/12/25	10/17/25	2.9
Initiate Greens / 3Mx5Y (0.7:1.0 weighted) steepeners paired with a 25% risk-weighted long in 3Mx10Y swaps	09/10/25	10/29/25	1.3
Pay in 3Mx2Y and 3Mx5Y swaps (1:0.33 weighted) versus receiving in 1Yx1Y	10/03/25	10/29/25	2.0
Initiate 1s/10s conditional bear flatteners using 3M expiry payer swaptions	10/17/25	10/29/25	7.7
Initiate 3M fwd 3s/20s conditional bull steepeners financed by selling 10% of the risk in 3Mx2Y receiver swaptions	10/31/25	12/12/25	4.0
Initiate 1s/7s conditional bear flatteners using 3M expiry payer swaptions	11/14/25	12/12/25	(7.0)
Initiate conditional 3M fwd 2s/5s flatteners via payer swaptions	12/19/25	01/06/26	(0.1)
Initiate H6/Z6 steepeners paired with 3M forward 1s/2s flatteners (0.5:1.0 weighted)	09/19/25	01/09/26	(1.4)
Initiate 2Y forward 3s/20s swap yield curve steepeners vs 90% risk-weighted 3M forward 5s/30s flatteners	10/03/25	01/09/26	(2.6)
Initiate 3Yx2Y/3Mx7Y swap yield curve steepeners (0.75:1 weighted) coupled with a 30% risk-weighted long in 3M fwd 10Y swaps	12/12/25	01/09/26	0.7
Initiate 2Y fwd 2s/30s swap yield curve steepeners vs 100% risk-weighted 3M fwd 2s/30s flatteners	12/12/25	01/09/26	1.0
Initiate 6Mx10Y 1x2 payer spreads	01/09/26	01/23/26	0.3
Initiate 18M forward 5s/20s swap yield curve steepeners	01/30/26	02/06/26	0.1
Sell the wings and buy the belly of a Z6/Z7/Z8 3M SOFR futures butterfly (-0.5:1:-0.5 weighted)	10/23/25	02/06/26	0.0
Initiate Greens/Blues (0.5:1.0 weighted) flatteners paired with a 60% risk-weighted short in 3Mx5Y swaps	01/30/26	02/20/26	2.5
Initiate weighted (1:0.45) 1Yx1Y/3Mx7Y flatteners coupled with a 55% weighted long in 3Mx5Y swaps	02/06/26	02/20/26	4.3
Receive fixed in 4Yx1Y swaps while paying 45% of the risk in 1Yx3Y swaps and paying 60% of the risk in 5Yx2Y swaps	02/06/26	02/20/26	4.6
Initiate 3Mx5Y 1x2 payer spreads	02/20/26	03/06/26	(0.7)
Receive-fixed in 12Mx3M swaps coupled with paying 100% of the risk in 9Mx3M swaps and 60% percent of the risk in 2Yx1Y swaps	02/20/26	03/06/26	0.7
Buy the belly of a 40:60 weighted U6/H7/U7 SOFR futures butterflies	02/27/26	03/06/26	(6.1)
Initiate 50:50 weighted 3s/10s/30s conditional bear belly cheapening flies using 1M expiry payer swaptions	02/27/26	03/27/26	2.2
Initiate a U6/Z6/M7/M8 3M SOFR futures box trade (-0.6/1/-0.63/0.28 weighted)	05/15/26	06/05/26	(2.5)
Initiate 3M forward 2s/30s swap yield curve steepeners paired with 2Y forward 2s/30s swap yield curve flatteners	05/29/26	06/25/26	(12.2)
Initiate A/A-25bp/A-50bp 3Mx2Y receiver swaption butterflies	05/15/26	07/31/26	(1.6)

Ipek Ozil ^{AC} (1-212) 834-2305
ipek.ozil@jpmorgan.com
J.P. Morgan Securities LLC
Chris Hayward (1-212) 622-6152
chris.hayward@jpmchase.com
J.P. Morgan Securities LLC

Emre Alptuna (1-212) 270-4843
emre.alptuna@jpmorgan.com
J.P. Morgan Securities LLC

Global Markets Strategy

07 August 2026

J.P.Morgan

Options	Entry	Exit	P/L
Buy 6Mx5Y swaption straddles versus selling a theta neutral amount of 6Mx30Y swaption straddles	08/01/25	08/22/25	(4.0)
Sell 70% of the vega risk in 6Mx2Y swaption straddles versus buying 6Mx5Y swaption straddles	08/05/25	08/22/25	(5.4)
Initiate shorts in 6Mx2Y swaption straddles, delta hedged infrequently	08/22/25	09/04/25	0.7
Buy 1Yx5Y A+100 minus A swaption payer skew	07/11/25	09/10/25	0.6
Initiate longs in 1Yx10Y swaption straddles, delta-hedged daily	08/15/25	09/10/25	(8.1)
Buy 3Yx10Y swaption straddles versus selling 85% of the vega risk in 2Yx30Y swaption straddles	08/01/25	09/12/25	(4.5)
Initiate longs in 10Yx10Y swaption straddles and receive fixed in 10Yx10Y swaps to hedge directional exposure	09/04/25	09/12/25	(5.6)
Initiate shorts in 3Mx2Y swaption straddles versus a gamma-neutral amount of longs in 3Mx10Y swaption straddles	09/10/25	09/19/25	4.4
Sell 6Mx2Y swaption straddles, delta hedged weekly	09/19/25	10/03/25	0.4
Initiate longs in 6Mx30Y swaption straddles, delta-hedged daily	10/17/25	10/29/25	(8.1)
Sell 6Mx5Y swaption straddles on a delta-hedged basis coupled with a weighted short in S&P 500 futures	09/19/25	11/05/25	1.7
Sell 6Mx2Y swaptions straddles versus buying a gamma-neutral amount of 6Mx30Y swaption straddles	10/31/25	11/14/25	(4.2)
Sell 10Yx3Y swaption straddles versus a vega neutral amount of 5Yx20Y swaption straddles	09/19/25	12/19/25	(2.0)
Initiate shorts in 1Yx10Y swaption straddles, delta-hedged infrequently	01/09/26	01/20/26	1.7
Initiate longs in 6Mx2Y straddles versus a gamma-neutral amount of 6Mx5Y straddles	12/19/25	02/13/26	1.7
Sell 1Yx2Y swaption straddles vs. buying a vega-neutral amount of 2Yx2Y swaption straddles, delta-hedged daily	02/20/26	02/27/26	(3.0)
Buy 6Mx10Y straddles versus a vega-neutral amount of 1Yx10Y straddles	12/19/25	04/17/26	(8.5)
Initiate longs in 6Mx2Y straddles vs. a gamma-neutral amount of shorts in 6Mx30Y straddles	04/17/26	04/29/26	11.7
Buy 6Mx5Y swaption straddles on a delta-hedged basis coupled with a weighted long in S&P 500 futures	04/17/26	04/29/26	8.9
Sell 3Mx30Y swaption straddles vs. buying a vega-neutral amount of 1Yx30Y swaption straddles	05/06/26	05/29/26	2.9
Sell 6Mx2Y swaption straddles, delta-hedged daily, coupled with a risk-weighted long in oil futures	05/29/26	06/04/26	1.3
Sell 6Mx5Y swaption straddles coupled with a vega-neutral amount of longs in 6Mx10Y swaption straddles	05/29/26	06/25/26	0.0
Treasury Futures	Entry	Exit	P/L
Buy the FVU5 factor weighted CTD basis with repo termed out to 9/2/2025	5/9/2025	9/4/2025	0.1
Initiate calendar spread narrowers in WN futures	2/18/2026	2/27/2026	(1.9)
Total number of trades			75
Number of winners			45
Hit rate			60%

Recent Weeklies / Mid-Week Updates	
31-Jul-26	Phish goes, the Fed doesn't
31-Jul-26	Bom(e) in the US(A)
24-Jul-26	Waiting for Godot
10-Jul-26	When doves cry
08-Jul-26	The return from oil?
29-Jun-26	Turkish (soccer) delights
24-Jun-26	Interest Rate Derivatives Mid-Week Update
05-Jun-26	9 to 5
04-Jun-26	Interest Rate Derivatives Trade Update
02-Jun-26	Sell you twenty barrels worth
15-May-26	...and a bevy of doves leaves the bar...
08-May-26	Oil is the new principal component
06-May-26	Wider spreads? For lower vol? Groundbreaking
01-May-26	Three hawks and a dove walk into a bar...
29-Apr-26	Post-FOMC rates update: I won't see you next time
24-Apr-26	Dog days are over?
22-Apr-26	18 minutes
17-Apr-26	Abracadabra
15-Apr-26	A benign tax season for the money markets
10-Apr-26	Black and blue, and who knows which is which
09-Apr-26	Dark side of the moon
27-Mar-26	There ain't no easy way out
20-Mar-26	It starts with an earthquake
18-Mar-26	Post-FOMC rates update: Hawkish and humble
17-Mar-26	Interest Rate Derivatives Trade Update
13-Mar-26	Burning the midnight oil
10-Mar-26	Non-laminar flows
06-Mar-26	Writing's on the vol
03-Mar-26	High viscosity
27-Feb-26	Winterlong
20-Feb-26	When you lose something you can replace
18-Feb-26	Treasury Futures March - June Rollover Outlook Summary
13-Feb-26	Interest Rate Derivatives Trade Update
06-Feb-26	Second and goal
04-Feb-26	Interest rate derivatives post-refunding announcement update
30-Jan-26	Never gonna give you up, never gonna let you down
29-Jan-26	Dollars and cents
28-Jan-26	"I have nothing for you"
23-Jan-26	If I'm not back again this time tomorrow, carry on
21-Jan-26	180 Degrees
13-Jan-26	The potential impact of GSE buying on swap spreads
09-Jan-26	Happy new year?
19-Dec-25	How the Grinch stole volatility
12-Dec-25	Do you want to build a snowman?
10-Dec-25	Post-FOMC rates update: To and fro the pendulum throws
14-Nov-25	Nothin' lasts forever, even cold November rain
05-Nov-25	No alarms and no surprises
31-Oct-25	Trick and treat
29-Oct-25	No foregone conclusions
24-Oct-25	Numbers add up to nothin'
23-Oct-25	Interest Rate Derivatives Trade Update
17-Oct-25	It still moves
14-Oct-25	Chair Powell moves spreads
08-Oct-25	What's going on with swap spreads
03-Oct-25	Sorry folks, park's closed
01-Oct-25	US Government shutdown implications for derivatives markets
26-Sep-25	(TGCR) could be the one
19-Sep-25	Through the windshield
12-Sep-25	The time to hesitate is through
10-Sep-25	De Sitter's balloon
05-Sep-25	Wake me up when September Ends
04-Sep-25	Honey deuce
22-Aug-25	Chair Powell, Sir

15-Aug-25	It is all coming back to me now
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Outlooks	
12-Jun-26	Interest Rate Derivatives 2026 Mid-Year Outlook: Headline ping-pong
25-Nov-25	Interest Rate Derivatives 2026 Outlook: Just keep on rolling under the stars
Recent Special Topic Pieces	
24-Jul-26	Comfortably numb: The decayed impact of President Trump's Truth Social posts about tariffs on rates markets
16-Jul-26	'Truth' and consequences: The impact of President Trump's social media posts on rates markets during the Middle East conflict
12-May-26	US Bond Futures Rollover Outlook June 2026 / September 2026
01-Apr-26	Jokes Aside: GSIB and Basel III Endgame Update
05-Mar-26	Pane management: potential changes to liquidity regulation
12-Feb-26	US bond futures rollover outlook: March 2026 / June 2026
08-Jan-26	The one with swap spreads
12-Nov-25	SLR Reform Update
06-Nov-25	US bond futures rollover outlook: December 2025 / March 2026
22-Oct-25	When the facts change, I change my mind
17-Sep-25	Corporate tax day that wasn't
12-Aug-25	US bond futures rollover outlook: September 2025 / December 2025

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